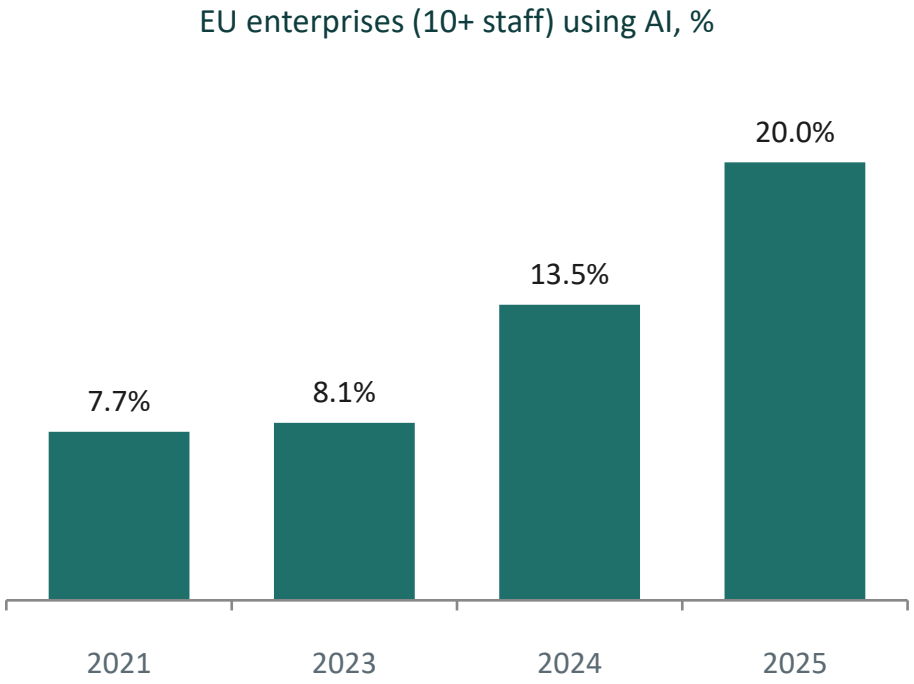
AI in Business: Why It Matters Now

October 2026

AI is now standard in business, but its value is not



~9 in 10 companies use AI in at least one business function

37% see any measurable profit, or Earnings Before Interest and Taxes (EBIT) impact from it

6% are "high performers" with 5%+ of EBIT from AI

Sources: Eurostat (Dec 2025); McKinsey, The State of AI, global survey (Aug 2026).

Analytics turns AI output into better decisions



A model's accuracy is not the goal: the decision it changes is. Most value is lost between the prediction and the action.

Descriptive
What happened?
Dashboards, KPIs

Diagnostic
Why did it happen?
Drill-downs, root cause

Predictive
What will happen?
Forecasts, risk scores

Prescriptive
What should we do?
Optimization, decision rules

Framework: Gartner analytics ascendancy model.

Causal analysis and forecasting: what to do and when

Causal analysis: who will change because we act?

Persuadables
Buy only if contacted: target these

Sure things
Buy anyway: discount is wasted

Lost causes
Never buy: contact is wasted

Sleeping dogs
Contact makes them leave

Time series: plan for demand before it arrives



Illustrative data. Seasonality and trend drive stock, staffing and cash-flow plans.

Uplift segments: standard marketing-analytics framework. A churn score alone cannot tell these groups apart.

GenAI literacy decides whether AI helps or hurts

Inside the frontier

Tasks GenAI does well

+40% higher quality work

25% Faster completion

+12% more tasks completed (volume)

Outside the frontier

Tasks that look easy but are not:

- *Edge cases*
- *Context dependence*
- *Novel Judgment*

–19% less likely to get the right answer when using AI

What literacy means



Ask well
Clear prompts, context, examples



Verify
Check facts, numbers and sources



Protect data
Know what must not be shared



Judge fit
Know when not to use AI

Same consultants, same tool: knowing where AI fails is the skill.

Source: Dell'Acqua et al. (2023), field experiment with 758 BCG consultants using GPT-4, HBS Working Paper 24-013.
https://www.hbs.edu/faculty/Pages/item.aspx?num=64700

Where AI in business is heading

1

Now

Assistants

Copilots and chatbots help individuals write, code and search

2

Next 1–3 years

Agents

AI runs multi-step workflows; 40% of large firms already scaling agents

3

Beyond

Redesigned firms

Processes rebuilt around AI, with humans setting goals and checking results

What it means for graduates: the scarce skills become framing problems, measuring impact, governing risk under the EU AI Act, and redesigning work around AI.

Source: McKinsey, The State of AI (Aug 2026), share of organizations with over USD 1 billion revenue scaling AI agents.

What's done and Where to Go?

IE 404	Introduction to Artificial Intelligence	A
	Elective Course 1	C
IE 405	*Programming in Python*	C
IE 406	*Foundations of Cyber Security*	C
IE 407	*Data Analytics in Spreadsheets*	C
IE 408	Databases and Data Warehouses	B
IE 409	Operational Research	B
IE 410	Statisctical Modelling with Python	B
First Semester		
IE 411	Cyber Security and Data Protection	B
IE 412	Business Analytisc	B
	Elective Course 2	C
FAB 413	*Economic Forecasting and International Economy*	C
FAB 506	*Managerial Accounting*	C
FAB 508	*Strategic Management*	C
BUS 420	*Marketing Analytics*	C
IE 413	Foundations of Machine Learning	B
FAB 414	Financial Management	B